

Commercial Account and Payment Authorization Policy

Document Control

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Applies To	Meridian Community Bank commercial banking operations
Classification	Internal

1. Purpose and Scope

This policy establishes the minimum requirements for opening and administering commercial deposit accounts and for authorizing payments from those accounts. It is intended to protect customer funds, maintain reliable ownership and authorization records, and ensure that payment review is proportionate to the value and risk of the transaction.

The policy applies to Commercial Banking, Treasury Operations, Accounts Payable Services, Financial Crime Compliance, Internal Audit, and contracted payment or verification providers acting for Meridian. It covers commercial checking and controlled-disbursement accounts, electronic payments, invoice settlements, and scheduled transfers related to Meridian loans. Consumer accounts, Wealth Division trust accounts, and corporate card transactions are governed by separate standards.

2. Policy Requirements

A commercial account may not be activated until Meridian has identified the legal customer, reviewed ownership information, and approved at least one person authorized to provide instructions. The account-opening record must distinguish the legal owner from every signer, delegate, or employee who may act for the customer. Permission to initiate a payment does not, by itself, establish ownership of the account or the funds in it.

Payments must have a documented business purpose and an identifiable destination. Invoice payments should reference the invoice number and the account from which funds will be drawn. Transfers related to a Meridian loan should reference the applicable loan agreement or servicing instruction. Treasury Operations may restrict an account or payment when ownership information is incomplete, authorization appears inconsistent, or the destination cannot be verified. Restrictions must be recorded and reviewed by the next business day.

No employee may both create and finally approve the same high-value payment. For this policy, a high-value payment is a single outgoing payment of USD 25,000 or more. Linked instructions that form one business transaction are evaluated together. A payment of USD 18,000 followed by USD 12,000 for the same invoice is therefore treated as a USD 30,000 payment for approval purposes.

3. Roles and Responsibilities

Role	Primary responsibility	Decision authority
Account-Opening Specialist	Verifies organizational records and records owners and authorized parties.	May approve a complete standard account package.
Payment Analyst	Reviews business purpose, supporting records, destination, and approval requirements.	May release payments below USD 25,000 when no exception is present.
Treasury Operations Manager	Approves high-value payments, account restrictions, and time-limited control exceptions.	May approve within assigned authority up to USD 250,000.
Financial Crime Compliance Officer	Reviews sanctions, fraud, and unusual-activity concerns.	May require a restriction or enhanced review.

Relationship managers gather customer information but do not make the final control decision. Account-opening specialists hand approved authorization records to Treasury Operations. Payment Analysts consult Financial Crime Compliance when a destination or payment pattern raises concern. Internal Audit independently tests completed records.

4. Operating Rules

Rule	Requirement
Ownership and authority	Record the legal owner separately from each person or service permitted to submit instructions.
Payment support	Match the instruction, destination, supporting invoice or agreement, and required approval before release.
High-value approval	Obtain separate recorded approval for payments at or above USD 25,000, including linked payments.
No threshold avoidance	Do not divide one business transaction into smaller instructions to avoid approval requirements.
Electronic authorization	Electronic signatures may be accepted only after identity and signature validation succeed.

5. Payment Review Procedure

1. The Payment Analyst receives the instruction and supporting invoice, agreement, or servicing reference.
2. The analyst verifies the initiator's authority and confirms that the destination matches the supporting record.
3. MeridianPay creates a review record linking the account, instruction, supporting record, destination, and initiator.
4. A Payment Analyst may approve a standard payment. A separate Treasury Operations Manager approves a high-value payment.
5. MeridianPay stores the decision, timestamps, reviewer identities, and release result.
6. Ownership mismatches, suspected payment splitting, sanctions alerts, and unverifiable destinations are escalated before release.

Urgent processing does not waive authorization or screening. During a documented system outage, the approved continuity log may be used, provided two people approve the payment and the record is entered into MeridianPay by the next business day.

6. Examples and Interpretation

Harbor Point Dental Group LLC owns the Harbor Point Operating Account, ACCT-884210. Elena Ruiz, Harbor Point's finance director, may initiate payments from that account but is not recorded as the owner. On September 14, 2026, she instructed Meridian to pay USD 28,460 to Summit Medical Supply for Invoice INV-44719. Payment Analyst Marcus Lee verified the authorization and invoice, and Treasury Operations Manager Priya Nair provided the final approval before release.

In a separate case, an analyst received two same-day instructions for USD 14,750 each for one equipment invoice. Although each instruction was below the stated threshold, the payments formed one USD 29,500 transaction and required separate managerial approval.

A payroll provider may be authorized to submit payroll files without being authorized to change tax-payment destinations. When the agreement and account record describe the provider's authority differently, Treasury Operations must pause the changed destination and obtain clarification.

7. Exceptions, Monitoring, and Records

Activity	Owner	Frequency	Evidence
High-value payment approval review	Treasury Quality Assurance	Weekly	Payment decision log and approval timestamps
Commercial account ownership reconciliation	Commercial Operations Control Team	Monthly	Account registry and customer-document comparison
Payment-splitting analytics	Financial Crime Compliance	Daily	Linked-payment alert report
Independent policy testing	Internal Audit	Annually	Sample workpapers and control test results

Exceptions are permitted only when a required control cannot operate as designed and a documented alternative provides comparable protection. No exception may waive ownership verification, sanctions screening, or separation of initiation and final approval for high-value payments.

Record type	Retention
Commercial account package	Seven years after account closure
Representative authorization	Seven years after authority ends
Payment review record	Seven years after payment date
Control exception record	Seven years after expiration

8. Related Guidance and Recent Change

The Accounts Payable Service Standard, MCB-STD-118, requires dual approval at USD 15,000 for Meridian-managed accounts-payable services. That stricter threshold applies only when the service standard governs the transaction; other commercial payments remain subject to the USD 25,000 threshold in this policy.

The 2026 Digital Treasury Pilot permits a corporate customer to authorize a registered payment service to transmit instructions using a service credential. The service acts under the customer's authority, but it is not a natural person and cannot complete callback verification. Operations should continue to treat a human authorized signer and a registered payment service as different forms of authority, even though both may submit instructions.

Version	Date	Summary
2.0	August 1, 2025	Consolidated account authority and payment approval requirements.
2.1	August 1, 2026	Added linked-payment treatment, account restrictions, and digital-service guidance.